

SHIFTING GEARS IN LOGISTICS TOWARDS SUSTAINABILITY

The logistics sector in India has witnessed a significant transformation in recent years. In 2019, the logistics costs were a substantial burden on the economy, accounting for about 13% of the GDP. Recognizing this, the Indian government implemented several reforms aimed at reducing these costs to approximately 8%. Key initiatives included the introduction of the Goods and Services Tax (GST) and FasTag, substantial investments in infrastructure, the establishment of dedicated freight corridors, and the creation of a Unified Logistics Interface Platform.

RAJESH JAGGI, VICE CHAIRMAN – REAL ESTATE, EVERSTONE GROUP

These strategic moves, in conjunction with the 'Make in India' campaign, have catalyzed the growth of third-party logistics (3PL) providers, supply chain optimization, and the burgeoning e-commerce sector, propelling the logistics industry forward.

However, this expansion has brought sustainability challenges to the forefront. Traditional warehousing operations are energy-intensive, with significant energy consumption for lighting, heating, cooling, and machinery. In response, industry leaders are now prioritizing sustainability, incorporating green design, energy efficiency, water conservation, waste management, and transportation optimization into their operational frameworks.

The execution of these sustainability principles is crucial. For instance, optimizing the window-to-wall ratio enhances natural lighting and ventilation, while proper insulation reduces heat loss. Both these measures reduce the load on lighting and HVAC systems. Similarly, warehouse designs that incorporate solar installation as well as energy-efficient lighting can significantly reduce the carbon footprint of a warehouse.

Sustainability is a multifaceted concept that extends beyond environmental conservation for real estate developers. It encompasses a strategic approach where economic

and social dimensions are harmoniously integrated. By prioritizing local sourcing and energy-efficient materials, communities can thrive economically while reducing their ecological footprint. Furthermore, the adoption of smart operations through electric vehicles, digitalization, and circular economy practices not only enhances operational efficiency but also sets a precedent for future sustainable initiatives.

IndoSpace's commitment to sustainability is evident in its extensive portfolio of 52+ industrial and logistics parks across 11 cities, which are designed with eco-friendly principles. The achievement of IGBC certification for nineteen parks underscores the company's dedication to green building standards. Furthermore, the 5-star rating from GRESB highlights IndoSpace's industry-leading position in environmental, social, and governance (ESG) performance, raising the bar for others in the sector.

Way Forward

The real estate sector in India is undergoing a significant transformation, with sustainability at its core. Companies like IndoSpace are leading the charge, showcasing that environmental stewardship and business growth can go together. Achieving the Green Warehousing and Logistics Platinum Certification by IGBC is a testament to



IndoSpace's commitment to sustainable development. The EDGE certifications further reinforce our dedication to energy efficiency and resource conservation. By integrating ESG values into every facet of our operations, from site selection to asset management, IndoSpace is not only contributing to India's Net Zero emission goals but also setting a benchmark for the industry. Our efforts reflect a broader trend in the real estate sector, where sustainable practices are becoming the norm, paving the way for a more resilient and eco-friendly future.